OCAD - ONE COMPANY A DAY

SERIES: RETAIL

Target Corporation

TGT | NYSE

USD 148.53 per share

Closing price, Monday 26 October 2026, latest completed trading day



TGT daily closing price, 27 July 2026 to 26 October 2026, USD per share. Source: Alpha Vantage daily price series.

REPORT DATE	ANALYST	SERIES	EXCHANGE
27 October 2026	Arthur Faugeron	Retail	NYSE

Executive Summary

Target is a US general merchandise retailer with 1,995 stores that earns a 4.9% operating margin on USD 104.8bn of annual sales. After three years of falling sales and profit, its first full year under a new chief executive shows traffic recovering, and the shares have risen 52% in 2026 on a one-off tariff refund and a raised outlook. At USD 148.53 the market already pays for a margin recovery to roughly 6%, so the debate is no longer survival but how much of the recovery is durable.

Business

WHAT IT DOES	Sells food, household essentials, apparel, home, hardlines and beauty through large-format stores that also serve as fulfilment nodes for 97.6% of merchandise sales. It operates as a single segment.
REVENUE ENGINES	Merchandise sales of USD 102.7bn (food and beverage 24%, household essentials 18%, apparel, hardlines and home 15% each, beauty 13%) plus USD 2.1bn of advertising, credit card profit sharing and other revenue.
CUSTOMERS AND GEOGRAPHY	US mass-market households, with nearly all sales in the United States; about 30% of merchandise sales come from owned and exclusive brands.
MODEL	Low-single-digit operating margin retail that depends on inventory turns of about 6.0x, owned real estate (1,546 of 1,995 stores owned) and growing high-margin income from Roundel advertising and the Target Circle programmes.

Financial Condition

SCALE AND GROWTH	Fiscal 2025 (year to 31 January 2026) net sales were USD 104.8bn, down 1.7%, with comparable sales of minus 2.6%; second-quarter 2026 sales rose 5.3% on comparable sales of plus 3.8%.
PROFIT	Fiscal 2025 operating income was USD 5.1bn (EBITDA USD 8.3bn) and net earnings USD 3.7bn, or USD 8.13 per diluted share; adjusted EPS was USD 7.57. Trailing twelve-month EPS of USD 9.64 includes USD 1.65 of tariff refunds.
CASH AND LEVERAGE	Operating cash flow was USD 6.6bn and free cash flow USD 2.8bn in fiscal 2025 (USD 4.6bn trailing). Net debt including leases is USD 13.3bn, or 1.4x trailing EBITDA, with A-category credit ratings at all three agencies.
RETURNS	Company-reported after-tax ROIC was 13.8% for fiscal 2025 and 15.4% for the twelve months to the second quarter of 2026.

Market Position

COMPETITORS	Walmart, Costco, Amazon and Dollar General compete most directly for the same household basket; off-price and category specialists compete in apparel and home.
ADVANTAGE	Differentiated owned brands, a store-based fulfilment network and a merchandising identity in beauty, home and kids that Walmart and Costco do not replicate.
WEAKNESS	Sub-scale pricing power against Walmart and Costco, a discretionary mix (apparel and home) that has shrunk for three years, and an operating margin that has fallen from 8.4% in fiscal 2021 to 4.9%.

Valuation

MARKET VALUE	Market capitalization is USD 67.5bn (454.3 million shares) and enterprise value USD 80.8bn including USD 13.3bn of net debt and leases.
MULTIPLES	Trailing P/E is 15.4x (18.6x excluding the refund), EV/EBITDA 8.7x (9.8x excluding the refund), P/FCF 14.8x, price to sales 0.63x and dividend yield 3.1%. Peers Walmart and Costco trade at P/E ratios above 40x; Dollar General trades near 17x.

Investment Framework

WHAT IS ATTRACTIVE	Traffic has turned positive (plus 3.6% in the second quarter), digital comparable sales grew 8.7%, the dividend yields 3.1% on a payout near 48%, and the balance sheet carries A ratings.
WHAT IS CONCERNING	Reported profit is inflated by a non-recurring USD 994m refund; SG&A has risen from 17.1% to 20.6% of sales in four years; home and apparel remain weak.
WHAT MUST GO RIGHT	Comparable sales growth near 3 to 4%, an operating margin rising from 5.1% towards 6% as price investment, wages and tariffs are absorbed, and capex of about USD 5bn earning returns above the cost of capital.
WHAT COULD BREAK THE THESIS	A second leg of market share loss to Walmart and Amazon, renewed tariff costs without refunds, or a consumer downturn that hits discretionary categories first.
PRICED IN	A reverse DCF at an 8.3% WACC implies an operating margin of about 6.2% by fiscal 2030 and revenue growth near 4% a year, above the 5.7% base case in this report.

Investment Profile

ASSESSMENT BY DIMENSION

Dimension	Assessment
Business quality	Moderate. Scale and owned brands support steady demand, but margins are structurally lower than before fiscal 2022.
Financial quality	Moderate. Cash conversion is sound (operating cash flow 1.8x net earnings) but earnings quality is flattered by refunds and settlements in the latest year.
Competitive position	Moderate and stabilising. Traffic recovery is recent and measured against weak comparisons.
Growth profile	Low to moderate. Net sales are 1.2% below fiscal 2021 after four years; management guides to about 5% growth in fiscal 2026.
Balance-sheet risk	Low to moderate. Net debt is 1.4x EBITDA and the current ratio is 0.99x, normal for a retailer with negative working capital.
Valuation	Fair to full against history. The trailing P/E of 15.4x equals the fiscal year-end average of 15.6x in three of the last five years, but earnings include a one-off.
Market and technical profile	Constructive long-term, weak near-term. The shares sit 13% below the August high, below the 50-day average and above the 200-day average.

Source: analyst assessment based on the evidence in sections A to C.

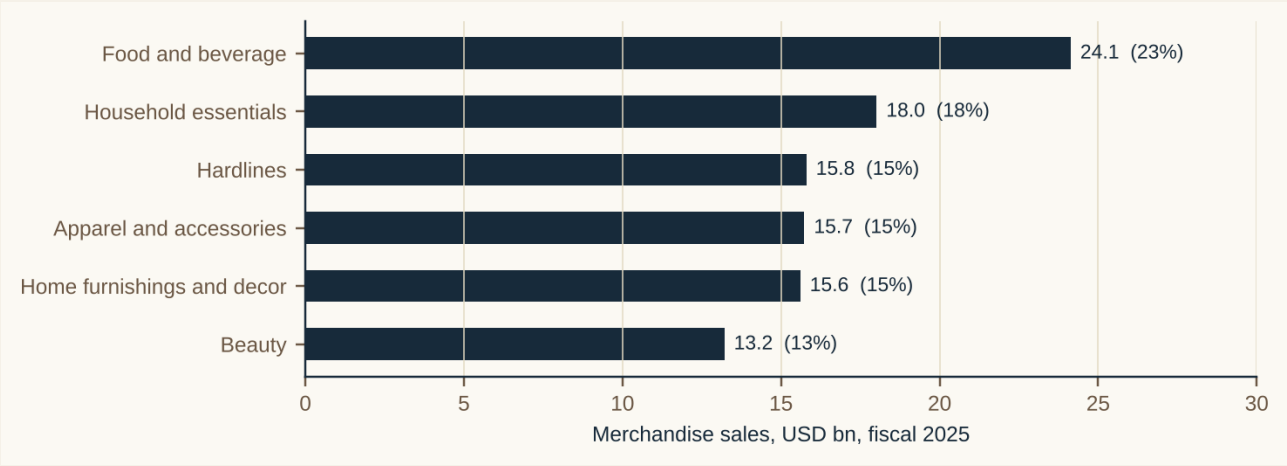
A. About the Business

A1. Business Environment

Target operates in US general merchandise and food retail, the part of consumer spending that goes to large-format mass retailers. The National Retail Federation forecasts 2026 US retail sales, defined to exclude autos, gasoline and restaurants, at more than USD 5.6 trillion, a gain of 4.4% and the fastest since 2022, against an average of 3.6% a year from 2013 to 2025 excluding the pandemic years. Target's USD 104.8bn of net sales equals roughly 2% of that pool on a calculated basis, which makes it a mid-sized participant behind Walmart (USD 735.8bn trailing revenue) and Costco (USD 303.2bn fiscal 2026 revenue).

The value chain runs from brand owners and contract manufacturers, mostly in Asia, through ocean freight, import and distribution centres, to stores and delivery networks, and finally to the household. Roughly half of Target's merchandise is sourced outside the United States, with China the largest origin, and Target is the importer of record for most owned and exclusive brands. Value is captured at three points: scale purchasing and logistics (Walmart, Costco, Amazon), differentiated owned brands that earn higher gross margins, and, increasingly, advertising and membership income that sits on top of the product flow. The cost pool is dominated by cost of sales (72.1% of net sales in fiscal 2025) and labour: Target employs about 415,000 people and states that workforce costs are its largest operating expense.

Merchandise sales by category, fiscal 2025



Source: Target Corporation Form 10-K, Note 2, fiscal year ended 31 January 2026. Units: USD bn and share of USD 102.7bn merchandise sales.

The industry is capital intensive for physical networks (Target plans about USD 5bn of capex in fiscal 2026, or 4.5% of sales) but cheap per dollar of sales to run once built, with asset turnover near 1.8x. It is moderately cyclical, because roughly 54% of Target's merchandise sales are food, household essentials and beauty that hold up in downturns, while the rest (apparel, home, hardlines) is discretionary. Regulation touches tariffs, product safety, wage rules and card interchange; in February 2026 the Supreme Court ruled that IEEPA tariffs were not authorised, which has produced refunds but also replacement tariffs under other authorities.

INDUSTRY STAGE

> Mature and structurally transforming, with share consolidating towards the largest scale operators. Store-based sales growth is limited to inflation plus modest volume, while growth has migrated to digital fulfilment, same-day delivery, retail media and membership programmes. The classification rests on the NRF growth rate of 4.4% (inflation-assisted), Walmart's 23% to 26% eCommerce growth and 38% advertising growth, and Costco's 8.4% total comparable sales in fiscal 2026.

A2. What Does the Company Do?

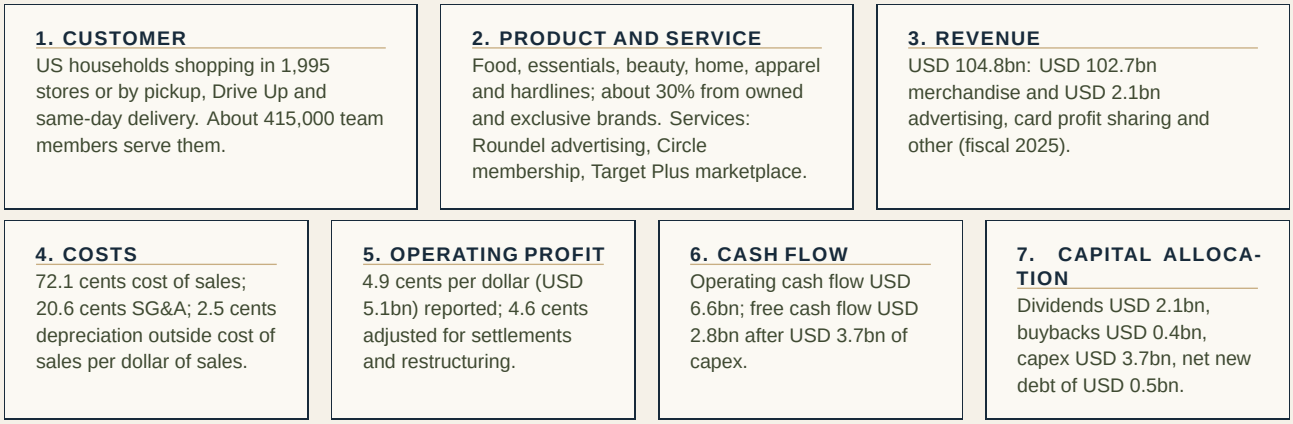
Think of Target as a network of 1,995 stores, 250.5 million square feet of selling space and 70 supply chain facilities that buys roughly 100 billion dollars of goods a year, moves them to stores, and sells them to households who either walk in or order for pickup, Drive Up or same-day delivery. The company is a single operating segment, so there is no segment profit disclosure; the economic structure is better understood through its six merchandise categories, its owned brands and its fee-based income.

Merchandise sales were USD 102.7bn in fiscal 2025. Food and beverage (USD 24.1bn) is the traffic driver and grew 1.3%; household essentials (USD 18.0bn) fell 3.2%; apparel (USD 15.7bn) fell 4.7%, home furnishings and decor (USD 15.6bn) fell 6.5%, hardlines (USD 15.8bn) was flat and beauty (USD 13.2bn) grew 0.3%. Other revenue added USD 2.1bn: advertising through Roundel (USD 915m, up 41%), credit card profit sharing (USD 522m) and other (USD 626m). Digitally originated sales were USD 21.1bn, or about 20.5% of merchandise sales (calculated), and stores fulfilled 97.6% of all merchandise sales, which means the digital business shares the cost base of the stores.

Pricing is everyday low pricing supported by promotions: Target lowered prices on more than 10,000 items over the past year. The Target Circle programme has three tiers: a free tier, the Target Circle Card (5% discount, free shipping on eligible orders) and the paid Target Circle 360 membership, whose membership revenue grew more than 40% in the second quarter of 2026. Revenue is largely non-recurring transactional, with recurring elements in membership fees and advertising contracts. A rough unit economics view: merchandise sales of USD 410 per square foot of year-end retail space and USD 52.5m of net sales per store (both calculated), against about USD 252,000 of sales per employee.

How one dollar of revenue is used

In fiscal 2025, of each dollar of net sales, 72.1 cents paid for the cost of goods, 20.6 cents for selling, general and administrative expense, and 2.5 cents for depreciation and amortization outside cost of sales, leaving 4.9 cents of operating income. After 0.4 cents of net interest and 1.1 cents of tax, 3.5 cents became net earnings. Operating cash flow was 6.3 cents, capital expenditure 3.6 cents and free cash flow 2.7 cents; dividends took 2.0 cents and buybacks 0.4 cents.



The economically most important parts of the model are, in order: gross margin rate (a one-point change is worth about USD 1.0bn of operating income), SG&A discipline, inventory turns (a one-day change in inventory days frees about USD 0.2bn of cash) and the high-margin other revenue, which is only 2% of sales but a far larger share of profit.

A3. Business and Relationship Network

ECOSYSTEM MAP

Node	Relationship	Why it matters economically
Suppliers and vendors	Thousands of national brand vendors and overseas manufacturers; global sourcing offices in 13 countries; no supplier concentration disclosed other than China as the largest import origin.	Cost of goods is 72% of sales, so vendor terms and tariffs drive the gross margin.
Customers	US households; no customer concentration. Target Circle members across three tiers.	Loyalty data and membership fees support traffic and advertising targeting.
Distribution	70 supply chain facilities (72.9 million square feet) plus stores acting as fulfilment points; independent contractors at Shipt.	Store-based fulfilment (97.6%) lowers delivery cost but ties digital margin to store labour.
Subsidiaries and brands	Roundel (advertising), Shipt (same-day delivery), Target Plus (third-party marketplace), Target Financial Services; owned brands A New Day, Cat & Jack, Good & Gather, up & up, Threshold, Room Essentials, Hearth & Hand with Magnolia.	Owned brands are about 30% of merchandise sales and carry higher gross margins than national brands.
Strategic partners	Apple, Levi's and Ulta Beauty shop-in-shop and design partnerships; Starbucks and Target Optical in-store; CVS pharmacies under a perpetual operating agreement. The Ulta Beauty shop-in-shop agreement was due to end in August 2026.	Partnerships raise traffic; the Ulta end forces Target to build its own beauty destination (Beauty Studio in more than 600 stores).
Credit card programme	Target Circle Card (debit, credit and MasterCard), earning profit sharing of USD 522m in fiscal 2025.	Card holders receive a 5% discount and shop more often; profit share is declining (USD 576m in 2024).
Shareholders	Institutional index holders dominate; the exact percentages were not retrieved. Executive Chair Brian Cornell and CEO Michael Fiddelke are the leading insiders.	Index ownership implies stable demand for the shares but little activist concentration.
Competitors	Walmart, Costco, Amazon, Dollar General, off-price retailers, drug stores and supermarkets.	Compete for the same household basket and for advertising dollars.

Source: Target Corporation Form 10-K, Items 1 and 1A, fiscal year ended 31 January 2026, and the Target Corporation announcement of executive leadership changes, February 2026.

A4. Competition

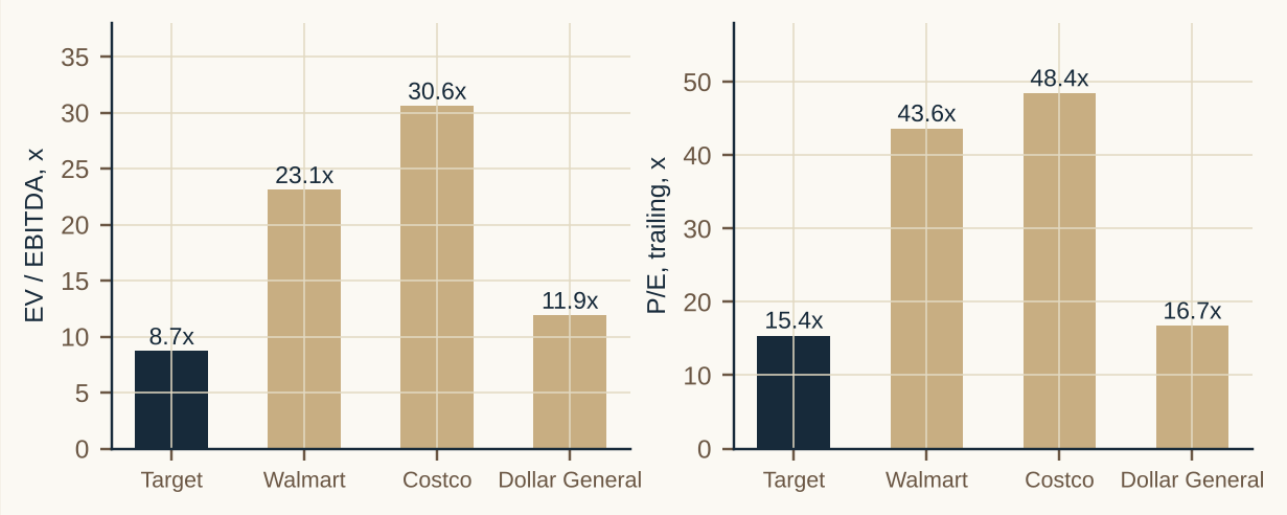
Peers were chosen by overlap in the household basket, not by classification. Walmart is the dominant grocery and general merchandise competitor with the same customer and a larger private-label and advertising platform. Costco competes for the same affluent suburban household with a membership model. Dollar General competes in consumables and value-oriented essentials in small-town and lower-income areas where Target is under-represented. Amazon competes for convenience purchases and advertising dollars; no financial figures for Amazon were retrieved for this comparison. Off-price chains (apparel and home) and category specialists compete for discretionary spending.

COMPETITIVE COMPARISON, USD, TRAILING TWELVE MONTHS TO OCTOBER 2026

Company	Revenue, bn	Op. margin	P/E	EV/EBITDA	Net debt, bn
Target (this report)	107.7	5.6%	15.4x	8.7x	13.3
Target (data provider)	107.7	N/A	15.8x	9.7x	13.8
Walmart	735.8	3.9%	43.6x	23.1x	63.6
Costco	303.2	3.8%	48.4x	30.6x	net cash 11.1
Dollar General	43.6	5.7%	16.7x	11.9x	14.2

Source: stockanalysis.com statistics pages for each company, prices at the 26 October 2026 close (Target page priced at the 23 October close); Target (this report) calculated from quarterly filings at the 26 October close. Target operating margin includes the USD 994m tariff refund and is 4.7% without it. Net debt includes leases where the provider includes them.

Valuation against the closest competitors



Source: stockanalysis.com statistics pages, prices at the 26 October 2026 close; Target from this report's calculations. Units: multiples, trailing twelve months.

Relative position. Walmart's second quarter of fiscal 2027 (to 31 July 2026) delivered total revenue of USD 187.9bn (up 5.9%), US comparable sales of plus 2.6%, eCommerce growth of 23% and advertising growth of 38%; Target's comparable sales of plus 3.8% in a comparable period were higher but come off a weak base after minus 2.6% in fiscal 2025. Costco reported fiscal 2026 comparable sales of 8.4% (6.6% excluding gasoline and currency) and earnings per share of USD 20.76. Target therefore trails the scale leaders on growth and trades at roughly one-third of their multiples, which reflects lower growth and a margin that has not yet recovered. Dollar General is the better valuation comparison: it has a similar margin (5.7%) and a similar P/E (16.7x).

A5. Competitive Differences

Advantages. The most durable advantage is the owned and exclusive brand portfolio, about 30% of merchandise sales, which gives Target product that cannot be price-compared and higher gross margin. Second is the store fleet: 1,546 of 1,995 stores are owned outright, which lowers occupancy cost and doubles as a same-day delivery network. Third is an emerging profit pool in Roundel advertising (billings up nearly 20% in the second quarter), Target Circle 360 membership (revenue up over 40%) and the Target Plus marketplace (gross merchandise value up over 40%). Fourth is a balance sheet rated A2/A/A, which allows investment through the cycle.

Disadvantages. Target lacks Walmart's grocery scale and cost position and Costco's membership fee annuity; its discretionary categories (apparel, home, hardlines: about 46% of merchandise sales) are the most exposed to Amazon and off-price rivals; and tariff exposure is high because about half of merchandise is imported. SG&A has risen from 17.1% to 20.6% of sales since fiscal 2021, evidence of wage and investment inflation that was not offset by price. Reputation risk is also unusually visible: the risk factors cite boycotts and conflicting stakeholder expectations.

The advantages in owned brands and store ownership are structural; the traffic recovery, the tariff refund and the cost-of-sales improvement are temporary or still unproven. Share has been lost: comparable store-originated sales fell 4.0% in fiscal 2025 while digital rose 3.1%.

MOAT ASSESSMENT: MODERATE

> The moat rests on brand differentiation and owned real estate rather than cost leadership or network effects. Evidence: an operating margin between 3.5% and 8.4% over fiscal 2021 to 2025, a calculated ROIC of 12% to 16% versus an estimated cost of capital near 8%, but also four consecutive years of flat to falling sales while Walmart and Costco grew. A moat that holds returns above cost of capital yet cannot grow the top line is moderate, not strong.

A6. Industry Trend

Historical growth in US retail has been steady at 3.6% a year before the pandemic distortion, with 2026 forecast at 4.4%. The current phase is a share shift: Walmart grew US comparable sales 4.1% in its first fiscal quarter and 2.6% in its second, Costco 8.4%, and Target minus 2.6% in fiscal 2025. Demand drivers include higher-income households (NRF notes they drive most of the growth), larger tax refunds in 2026 and a muted labour market. On the supply side, tariffs reorganised sourcing in 2025 and 2026, and price investments by the leaders compress gross margin for everyone: Walmart explicitly said it prioritises remaining tariff refunds for price investments.

The industry is mature and consolidating in favour of scale, with a structural transformation towards retail media, membership and same-day delivery. Structural trends are digital share, retail media (Walmart Connect up 44% in its first quarter, Roundel nearly 20%) and membership. Temporary conditions are tariff refunds, tax refund timing and elevated gasoline prices. The trend could reverse if consumer credit tightens, tariffs return at higher rates without offsets, or the price investments by Walmart and Amazon become a sustained price war.

A7. Management

EXECUTIVE TEAM

Name	Position	Background
Michael J. Fiddelke (49)	Chief Executive Officer since February 2026	Chief Operating Officer February 2024 to January 2026; Chief Financial Officer November 2019 to October 2024. Long-serving Target finance executive.
Brian C. Cornell (67)	Executive Chair since February 2026	Chair and CEO from August 2014 to January 2026; led the 2020 to 2021 sales surge and the subsequent inventory reset.
Jim Lee (51)	Chief Financial Officer since September 2024	PepsiCo Deputy Chief Financial Officer, Senior Vice President Corporate Finance, and Chief Strategy and Transformation Officer of PepsiCo Beverages North America.
Lisa R. Roath (48)	Chief Operating Officer since February 2026	Chief Merchandising Officer for Food, Essentials and Beauty; Chief Marketing Officer 2023 to 2025.
Cara A. Sylvester (48)	Chief Merchandising Officer since February 2026	Chief Guest Experience Officer 2022 to 2026; Chief Marketing and Digital Officer 2021 to 2022.
Prat Vemana (54)	Chief Information and Product Officer since February 2025	Chief Digital and Product Officer from October 2022; formerly Chief Digital Officer at Kaiser Permanente.

Source: Target Corporation Form 10-K, Item 1, Information About Our Executive Officers; ages as of the filing. Insider ownership percentages and compensation totals were not retrieved.

Management analysis. The team is largely internal, which gives continuity with the strategy that produced 2020 and 2021 peak earnings but also means the same leadership presided over the fiscal 2022 inventory and margin reset (operating margin fell from 8.4% to 3.5%). Capital allocation has been cyclical: USD 7.4bn of buybacks in fiscal 2021 followed by USD 0.1bn in fiscal 2023 and USD 0.4bn in fiscal 2025, while dividends rose steadily to USD 4.52 per share (a payout of 55% of fiscal 2025 net

earnings). The company reduced the diluted share count from 492.7 million to 455.6 million over four years, a 7.5% reduction, but it was done at prices well above today's. Capex has been lumpy (USD 5.5bn in fiscal 2022, USD 2.9bn in fiscal 2024) and is returning to about USD 5bn in 2026 under the new chief executive, a bet on 30 new stores, about 130 remodels and supply chain and technology. Guidance has been raised for fiscal 2026, and the ROIC trend (13.8% to 15.4%) supports management's claim of improving returns, though the latest EPS guidance of USD 9.90 to USD 10.90 depends on USD 1.65 of refunds. In fiscal 2025 the company took USD 250m of restructuring charges for a headquarters workforce reduction. Management behaviour is aligned with shareholders on dividends (a record of annual increases exceeding 50 years) and, when buybacks resume in the second half of 2026, on share count, but the track record on forecasting through the 2022 reset was poor.

B. Evaluation

B1. Financial and Operating Metrics

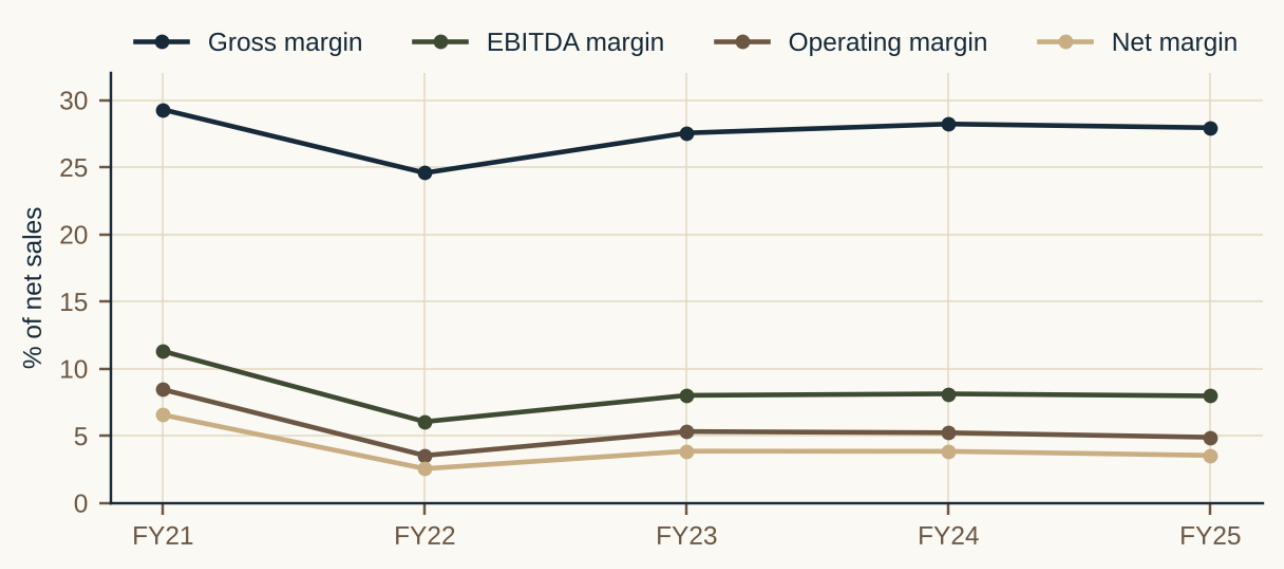
Profitability. Operating margin has settled in a 4.9% to 5.3% band for three years after the 2021 peak of 8.4% and the fiscal 2022 trough of 3.5%. The decline from peak is explained by SG&A, which rose from 17.1% to 20.6% of net sales (3.5 points) while the gross margin only moved from 29.3% to 27.9% (1.4 points); wage inflation, store payroll investment and technology spend are the primary drivers, and fiscal 2025 SG&A was flattered by a USD 593m interchange fee settlement gain worth 0.6 points of sales. Adjusted for that gain and for USD 250m of restructuring, fiscal 2025 operating income was USD 4.78bn, a margin of 4.6%. Return on equity of 24% looks high but is amplified by leverage and a smaller equity base after buybacks; ROIC of 13% to 16% is the better measure, and it exceeds an estimated 8.3% cost of capital.

PROFITABILITY, RETURNS, EFFICIENCY AND LEVERAGE

Metric	FY2021	FY2022	FY2023	FY2024	FY2025
Gross margin	29.3%	24.6%	27.5%	28.2%	27.9%
SG&A / net sales	17.1%	17.4%	18.5%	19.0%	20.6%
EBITDA margin	11.3%	6.0%	8.0%	8.1%	8.0%
Operating margin	8.4%	3.5%	5.3%	5.2%	4.9%
Net margin	6.6%	2.5%	3.9%	3.8%	3.5%
Effective tax rate	22.0%	18.7%	21.9%	22.2%	22.3%
ROE (net earnings / average equity)	N/A	23.1%	33.6%	29.1%	24.0%
ROA (net earnings / average assets)	N/A	5.2%	7.6%	7.2%	6.3%
ROIC, calculated	N/A	12.3%	15.8%	14.9%	13.3%
ROIC, company reported	N/A	N/A	N/A	15.4%	13.8%
Inventory turnover (cost of sales / avg inventory)	N/A	6.01x	6.13x	6.21x	6.03x
Asset turnover (sales / avg assets)	N/A	2.04x	1.98x	1.88x	1.79x
Interest coverage (EBIT / interest)	22.2x	8.2x	11.6x	13.8x	11.7x
Dividend payout (dividends paid / net earnings)	22.3%	66.0%	48.6%	50.0%	55.4%

Source: calculated from Target Corporation Form 10-K statements. ROIC calculated as EBIT after the effective tax rate divided by average (total debt including leases plus equity less cash); the company-reported ROIC uses its own definition of invested capital and is shown for comparison. Fiscal 2021 averages are not available because fiscal 2020 balance data was not used.

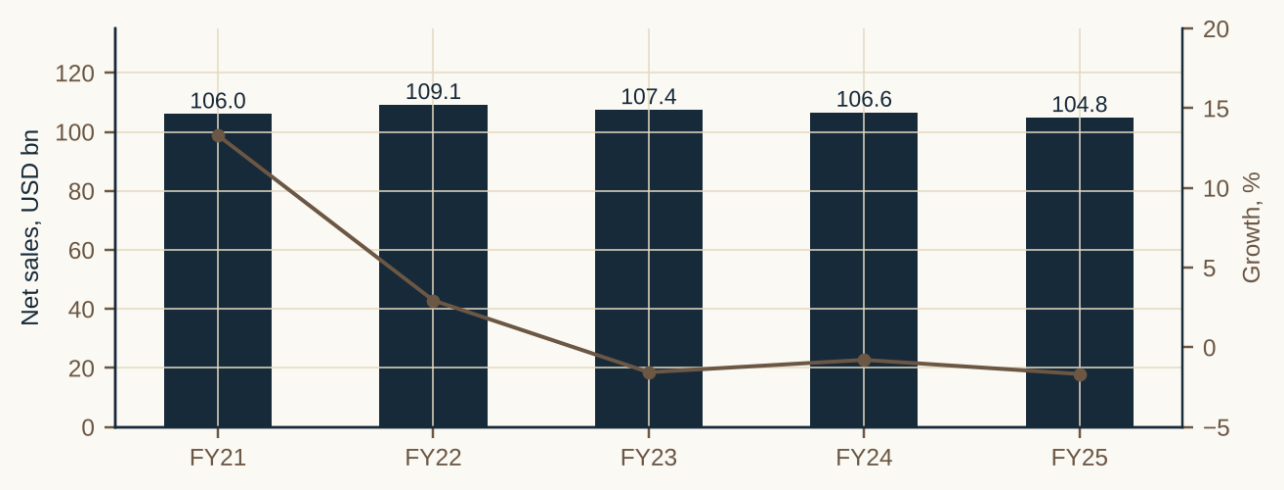
Margin structure, fiscal 2021 to 2025



Source: Target Corporation Form 10-K, Alpha Vantage statement data and analyst calculations. Units: percent of net sales. EBITDA is EBIT plus total depreciation and amortization.

Growth. Net sales fell at a compound annual rate of 0.3% between fiscal 2021 and 2025 (4 years), and rose at 2.3% a year between fiscal 2020 (USD 93.6bn) and fiscal 2025 (5 years), which shows that the pandemic surge has been given back in real terms. EPS compounded at minus 12.9% from USD 14.10 to USD 8.13, EBITDA at minus 8.6% and free cash flow at minus 13.6%. Growth has been almost entirely organic; no material acquisitions were made in the period, and organic growth beyond comparable sales is not separately disclosed.

Net sales and annual growth

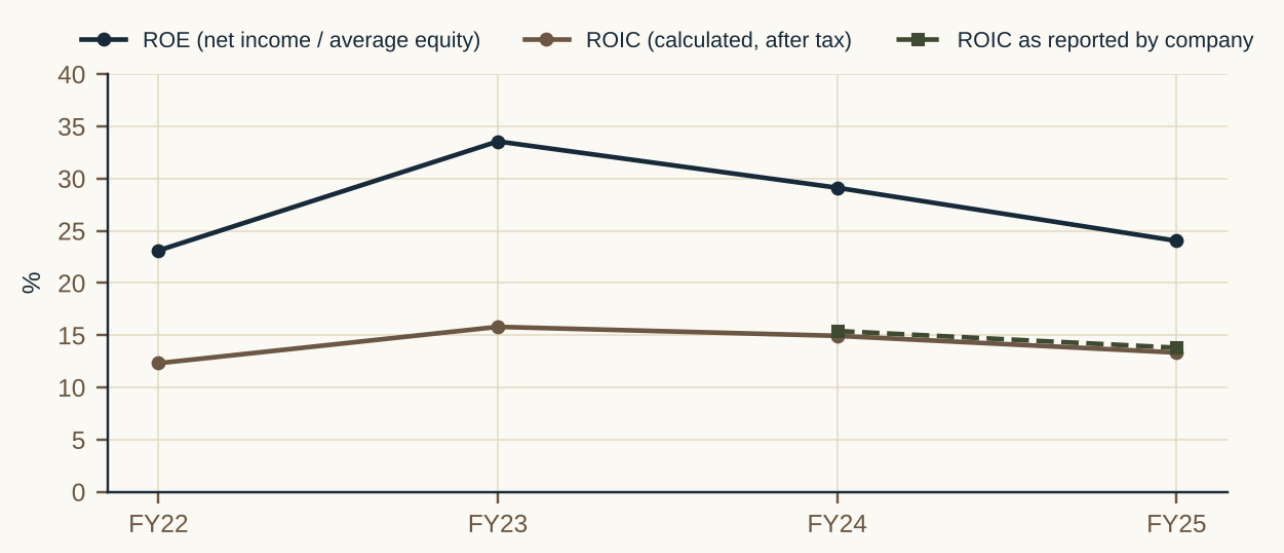


Source: Target Corporation Form 10-K; fiscal 2020 sales of USD 93.6bn from Alpha Vantage statement data. Units: USD bn and percent. Fiscal 2023 contained 53 weeks.

Efficiency. Inventory turned about 6.0 times in fiscal 2025 (60.5 days), down from 6.2 in fiscal 2024, and the cash conversion cycle is roughly 6 days (60.5 days of inventory plus 6.3 days of receivables less 61.0 days of payables, all calculated), which means suppliers finance almost all of the inventory. Asset turnover has drifted down from 2.04x to 1.79x as Target invests in stores faster than sales grow.

Leverage and cash flow. Net debt including leases is 1.8x EBITDA at fiscal year end and 1.4x on the trailing figure after the refund; interest coverage is 11.7x. Free cash flow margin was 2.7% in fiscal 2025, below the 4.8% of fiscal 2021, because capex rose from 3.3% to 3.6% of sales and operating cash flow fell.

Return on equity and on invested capital



Source: Target Corporation Form 10-K; analyst calculations; company-reported ROIC from the Form 10-K and second-quarter 2026 earnings call. Units: percent. ROE is not equivalent to ROIC.

Against peers, Target's operating margin (5.6% trailing, 4.7% excluding the refund) is above Walmart (3.9%) and Costco (3.8%) because those two sell a lower-margin grocery-heavy mix, and in line with Dollar General (5.7%). The relevant comparison on

returns is ROIC: the data provider shows Walmart 13.3%, Dollar General 8.2% and Costco 37.3%, against Target's 13.2% to 15.4%. Target earns a Walmart-like return with slower growth.

B2. Risks

RISK REGISTER RANKED BY PROBABILITY TIMES IMPACT

Rank	Risk	Probability	Impact	Description
1	Market share loss in discretionary categories	High	High	Apparel (down 4.7%) and home (down 6.5%) shrank in fiscal 2025 while Walmart, Amazon and Costco grew; discretionary categories are about 46% of merchandise sales.
2	Tariffs and trade policy	High	High	About half of merchandise is imported, China the largest origin; refunds of USD 994m flattered the second quarter and guidance excludes further refunds; replacement tariffs under other authorities were announced in February 2026.
3	Margin compression from price investment and wages	High	Medium to high	Prices cut on 10,000 items; SG&A rose 7% in the second quarter; Walmart is directing its tariff refunds into lower prices.
4	Valuation reset	Medium	Medium to high	At 18.6x refund-adjusted earnings the shares need a margin of roughly 6.2% by fiscal 2030; a miss could take the multiple back to 13x (the fiscal 2025 year-end level).
5	Return on capex programme	Medium	Medium	Capex rising to about USD 5bn (4.5% of sales) while asset turnover falls; remodel and new store returns are not disclosed.
6	Consumer downturn	Medium	Medium	Low-income and discretionary spending is the first to weaken; food, essentials and beauty (54% of merchandise sales) cushion it.
7	Reputation and brand	Medium	Medium	Risk factors cite boycotts and conflicting stakeholder expectations; traffic fell 2.2% in fiscal 2025.
8	Technology, cyber and AI disruption	Low to medium	High	Data breach, platform changes and agentic shopping that bypasses retailer apps; retail media depends on first-party data.
9	Financial and interest-rate risk	Low	Medium	Long-term debt of about USD 14.4bn including the current portion, plus leases; ratings A2/A/A; ten-year Treasury yield near 5.0%; a USD 1.0bn 364-day facility expires in October 2026.
10	Leadership transition	Low to medium	Medium	New CEO since February 2026 and a new merchandising and operations team; the former CEO is Executive Chair.

Source: Target Corporation Form 10-K, Item 1A and Item 7; second-quarter 2026 earnings materials; Walmart second-quarter fiscal 2027 earnings release; analyst assessment of probability and impact.

The three risks most capable of permanently impairing shareholder value are: first, structural share loss in discretionary categories, which would turn a temporary margin dip into a lower permanent earnings base; second, a sustained tariff and price-war combination in which Target cannot pass on costs because Walmart and Amazon will not, which would hold the operating margin near 4% to 5% and make the current multiple untenable; and third, poor returns on the USD 5bn a year capex programme at a time of higher interest rates, which would turn operating leverage into leverage on the balance sheet. Currency risk is minimal because nearly all sales are in US dollars, and refinancing risk is low given A ratings.

B3. Valuation

At USD 148.53 Target is valued at 15.4x trailing earnings as reported and 18.6x once the USD 994m tariff refund is removed from earnings, so the first step in any valuation is to decide which earnings base is the relevant one. The table below shows both.

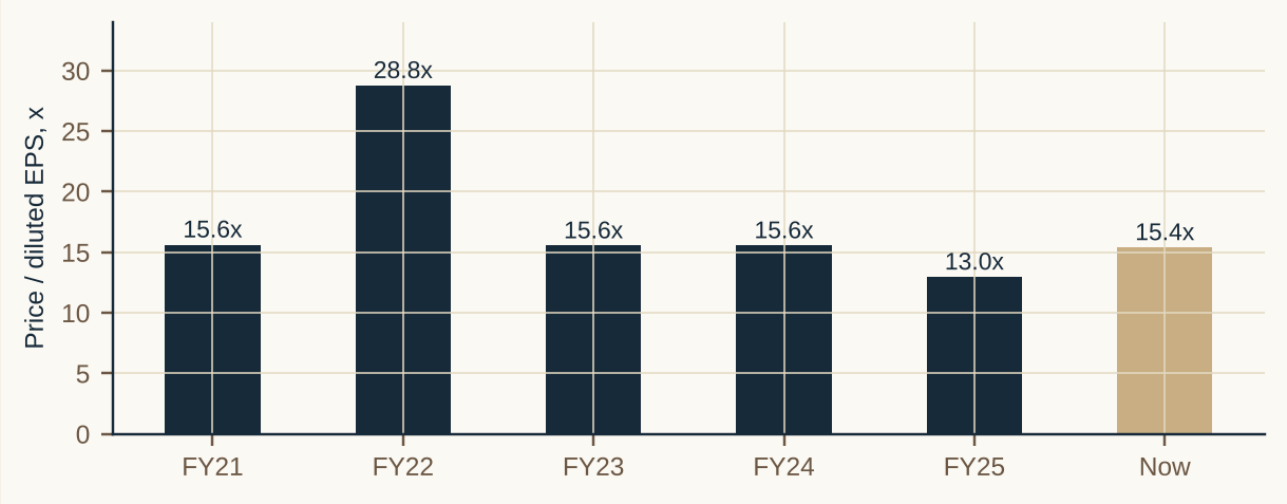
VALUATION MULTIPLES AT THE 26 OCTOBER 2026 CLOSE (USD 148.53)

Multiple	As reported	Excluding refund	Basis
P/E, trailing (EPS 9.64; 7.99 excluding refund)	15.4x	18.6x	TTM Q2 FY26
P/E, forward (fiscal 2026 guidance midpoint 10.40; 8.75)	14.3x	17.0x	Guidance
EV/EBITDA	8.7x	9.8x	TTM
EV/EBIT	13.4x	16.1x	TTM
P/S and EV/Sales	0.63x / 0.75x	N/A	TTM
P/FCF	14.8x	17.9x	TTM
EV/FCF	17.7x	21.4x	TTM
FCF yield (FCF / market cap)	6.7%	5.6%	TTM
Dividend yield (USD 4.64 annualised)	3.1%	N/A	Current

Source: calculated from Target Corporation quarterly filings (TTM to 1 August 2026), the second-quarter 2026 earnings release and call (guidance of USD 9.90 to USD 10.90 including about USD 1.65 of refund benefit), and the Alpha Vantage closing price. Market capitalization USD 67.5bn (454.3 million shares); enterprise value USD 80.8bn including USD 13.3bn of net debt and leases. After-tax effect of the refund taken at 22.5%. PEG is not meaningful because the growth base is distorted by the refund (the data provider shows 2.9).

Historical valuation. At each fiscal year end the shares traded at 15.6x (fiscal 2021), 28.8x (fiscal 2022, on trough earnings), 15.6x, 15.6x and 13.0x (fiscal 2025) diluted EPS, so today's 15.4x trailing multiple sits in the middle of the range and the 18.6x refund-adjusted multiple sits above the typical 15.6x. Low P/E ratios in 2024 and 2025 reflected the market's doubt that earnings could grow; the market has now removed that doubt.

Price to earnings at fiscal year end versus today



Source: Alpha Vantage month-end closes (31 January 2022 to 30 January 2026) divided by Target Corporation reported diluted EPS; current value uses 26 October 2026 close and trailing EPS of USD 9.64. Units: multiple of EPS.

Peer valuation. Walmart (43.6x trailing P/E, 23.1x EV/EBITDA) and Costco (48.4x, 30.6x) trade at roughly three times Target's multiples because they are growing sales faster and are seen as structural winners; Dollar General (16.7x, 11.9x) is the closest analogue and trades at a similar P/E and a higher EV/EBITDA. Target's discount to Walmart and Costco is justified by the gap in growth and by Target's earnings volatility, but is large enough that a convergence of even a few turns of multiple would matter more than any single quarter of earnings.

Cash-flow valuation. Section C5 builds a discounted cash flow model. At an 8.3% WACC and 2.5% terminal growth the base case gives a central USD 137 per share and a range of USD 124 to USD 153 for WACC between 8.8% and 7.8%, the bull case USD 171 and the bear case USD 89, against a market price of USD 148.53.

What is priced in. Running the base case backwards, the current price requires an operating margin of 6.2% by fiscal 2030 (against 5.7% in the base case and 4.6% adjusted in fiscal 2025), or a discount rate of 7.9% instead of 8.3%. Revenue growth averaging about 4% a year, as in the base case, is assumed as well, compared with a 1.7% decline in fiscal 2025 and a 3.6% industry average growth rate before the pandemic. The expectation embedded in the price is therefore Reasonable to Optimistic: it does not assume a return to the 8.4% margin of fiscal 2021, but it does assume that the turnaround is largely successful.

B4. Capital Market and Stock Analysis

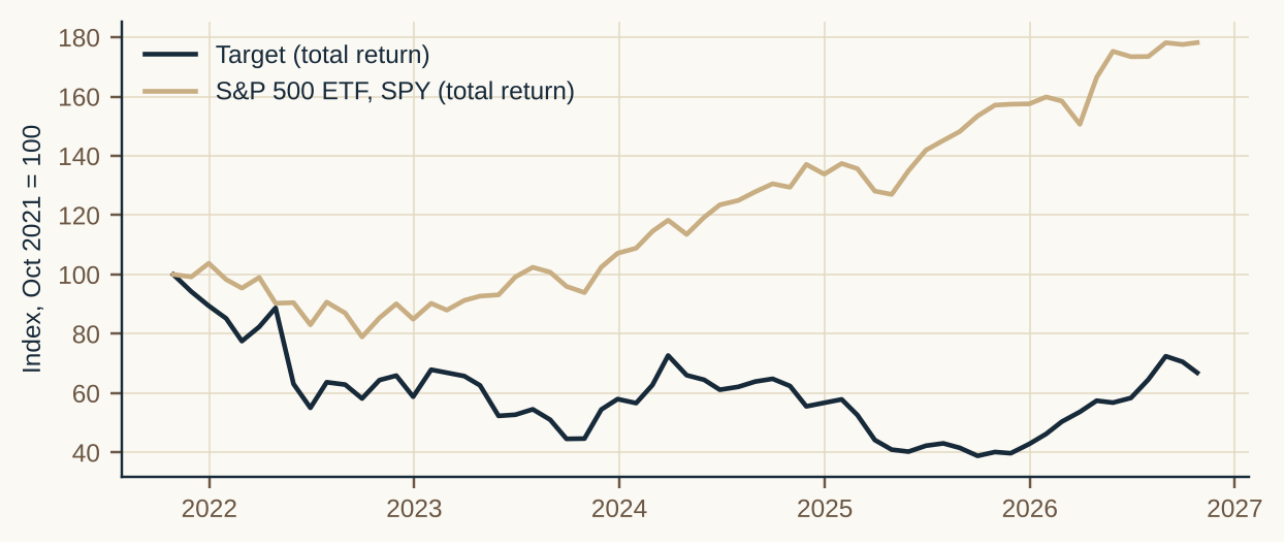
SHARE PRICE PERFORMANCE TO 26 OCTOBER 2026

Period	Target	S&P 500 ETF (SPY)
One day	-2.8%	N/A
One week	-3.1%	N/A
One month	-5.7%	N/A
Three months	8.6%	N/A
Six months	16.4%	7.0%
Year to date	56.1%	13.1%
One year	66.6%	13.4%
Three years	49.7%	89.8%
Five years	-33.1%	78.2%

Source: Alpha Vantage daily and monthly adjusted price series. One day to three months are price returns from daily closes (reference closes 23 October, 19 October, 25 September and 24 July 2026). Six months to five years are total returns from adjusted month-end closes (reference month-ends 30 April 2026, 31 December 2025, 31 October 2025, 31 October 2023 and 29 October 2021). Benchmark returns are shown only for periods measured on the same monthly basis.

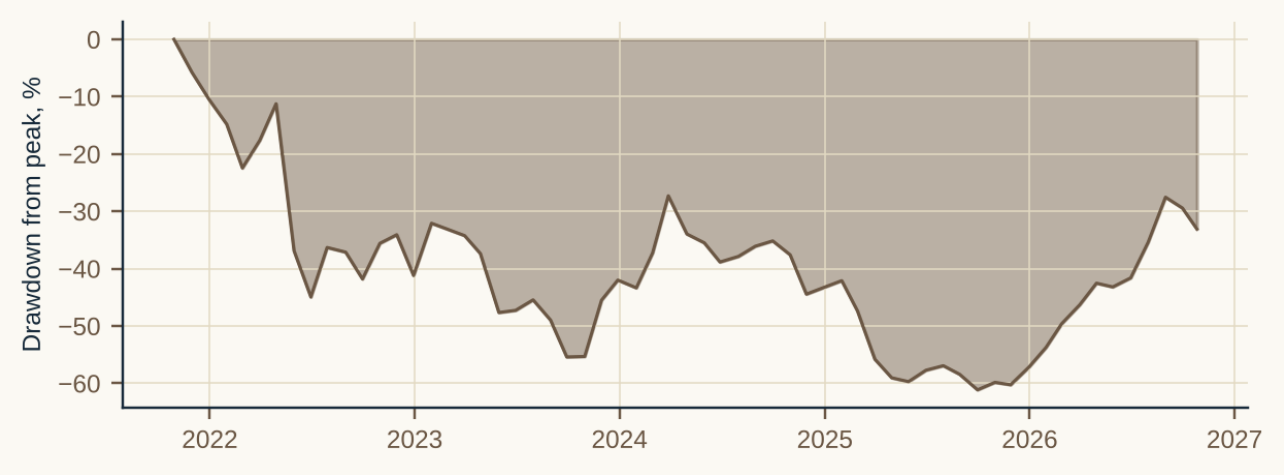
Price history. The shares peaked at USD 259.62 in October 2021, fell 61% to a month-end low of USD 89.70 in September 2025 (maximum drawdown on month-end closes, a total-return calculation), and have since recovered to USD 148.53, which is still 33% below the 2021 peak on a total-return basis. Over five years the shares returned minus 33% against plus 78% for the S&P 500 ETF; over the last year they returned plus 67% against plus 13%. The move is concentrated: the last 12 months contain the recovery from the September 2025 low and the August 2026 move after the second-quarter report: the shares gained 4.3% on 19 August 2026 on volume of 9.5 million shares (against a 100-day average of 4.2 million) and peaked at USD 170.75 five sessions later.

Target against the S&P 500 ETF, five years



Source: Alpha Vantage monthly adjusted close, 29 October 2021 to 26 October 2026, rebased to 100. Units: index, total return.

Target drawdown from the previous high



Source: Alpha Vantage monthly adjusted close, October 2021 to October 2026; analyst calculation. Units: percent below prior peak.

VOLATILITY AND RISK

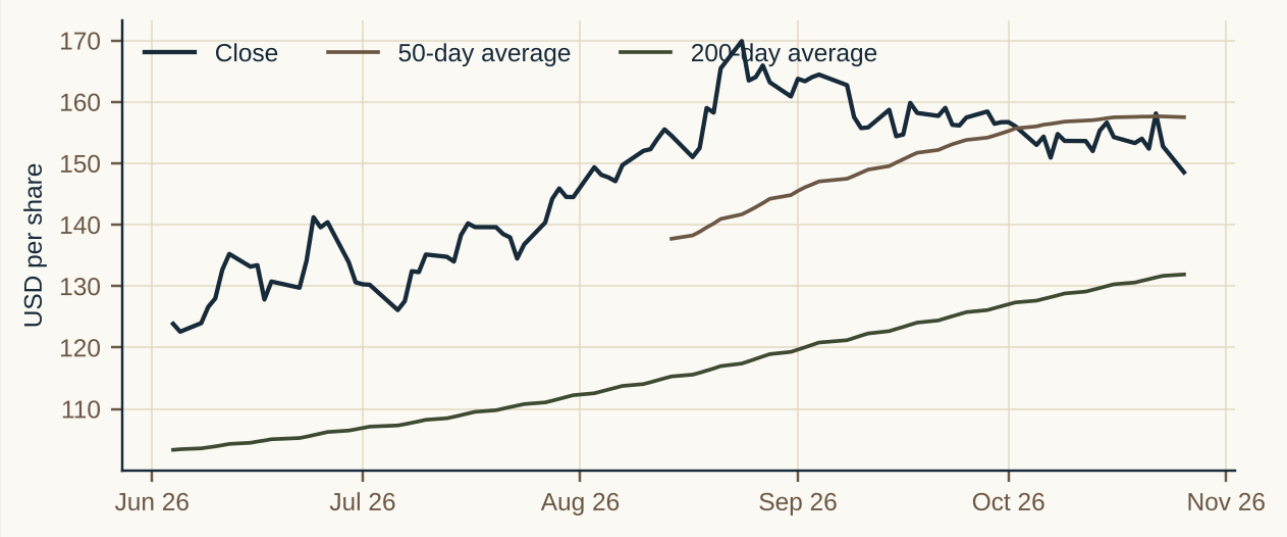
Measure	Value	Basis
Annualized volatility, monthly returns	31.3%	60 months to October 2026, calculated
Annualized volatility, daily returns	31.4%	100 trading days, calculated
S&P 500 ETF annualized volatility	15.4%	60 months, calculated
Downside deviation (below zero)	22.7%	60 monthly returns, annualised
Beta versus S&P 500 ETF	0.95	60 months; data provider shows 0.98 (5 years)
Correlation with S&P 500 ETF	0.47	60 months, calculated
Maximum drawdown	minus 61.2%	Oct 2021 peak to Sep 2025, month-end basis
Current drawdown from October 2021 peak	minus 33.1%	Total-return basis

Source: Alpha Vantage daily and monthly adjusted price series for Target and the S&P 500 ETF (SPY); analyst calculations. Month-end data understates intra-month drawdowns.

Beta close to one but correlation of only 0.47 means that most of Target’s volatility is company-specific: earnings reports, tariff news and sector sentiment, not the index. Volatility of 31% is double the market’s, consistent with a stock that has repriced violently on each quarterly report.

Technical structure. The closing price of USD 148.53 sits 5.7% below the 50-day average (USD 157.50) and 12.6% above the 200-day average (USD 131.89), a pullback inside a longer uptrend. RSI (14 days) is 40, neither oversold nor strong; the MACD line (minus 1.02) is below its signal line (minus 0.73), a negative momentum reading; average true range of USD 4.36 is 2.9% of price, so a one-day move of 3% is ordinary. Volume has been average (20-day mean 4.0 million shares against 100-day mean 4.2 million), with no distribution spike. Support lies near USD 145.50 (the 7 August low) and then the 200-day average; resistance lies near USD 160 (September highs) and USD 170.75 (the 24 August high).

Closing price with 50-day and 200-day averages



Source: Alpha Vantage daily close and 200-day simple moving average, 4 June to 26 October 2026; 50-day average calculated. Units: USD per share.

TECHNICAL INDICATORS AT THE 26 OCTOBER 2026 CLOSE

Indicator	Value	Reading
Close versus 50-day average	minus 5.7%	Short-term weakness
Close versus 200-day average	plus 12.6%	Long-term trend intact
RSI (14 days)	40.2	Neutral to weak
MACD (12, 26, 9)	minus 1.02 / minus 0.73	Negative momentum
ATR (14 days)	USD 4.36	2.9% of price
Average daily volume, 20 days	4.0 million	In line with the 100-day mean
Distance from 100-day high (USD 170.75)	minus 13.0%	Retracement of the August surge

Source: Alpha Vantage price and moving average data; indicators calculated from 100 trading days of daily prices (4 June to 26 October 2026) except the 200-day average, which is provider-calculated.

The technical picture is a consolidation after a large re-rating, not a breakdown. It says nothing about the fundamental value of the shares, which depends on the sustainability of margin; technicals matter mainly for timing and for understanding that a good part of the re-rating has already occurred (the shares have risen 52% in 2026 on price alone). Relative performance against the retail sector was not retrieved; against the broad market, the stock has outperformed strongly over one year but badly over five.

C. Financial Statements

Target reports under US GAAP on a fiscal year ending on the Saturday nearest 31 January. Fiscal 2025 ended 31 January 2026 (52 weeks); fiscal 2023 had 53 weeks. Figures below are reported unless labelled calculated or adjusted, all in US dollars.

C1. Income Statement

Net sales fell for three years: USD 109.1bn (fiscal 2022), USD 107.4bn, USD 106.6bn and USD 104.8bn (fiscal 2025, down 1.7%). The driver is volume, not price: fiscal 2025 comparable sales fell 2.6% on traffic of minus 2.2% and average ticket of minus 0.4%, with stores-originated comparable sales down 4.0% and digitally originated up 3.1%. Sales were USD 1.8bn lower than the previous year, but the decline in comparable sales was partly offset by new stores and by other revenue (advertising rose USD 266m, or 41%). There were no acquisitions and no currency effect. Fiscal 2025 net sales were 1.2% below fiscal 2021 despite cumulative inflation, so real volume is meaningfully lower.

INCOME STATEMENT SUMMARY, USD BN UNLESS STATED

Metric	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Q2 FY26
Net sales	106.00	109.12	107.41	106.57	104.78	107.70
Gross profit	31.04	26.81	29.58	30.06	29.27	31.56
SG&A expense	18.14	18.97	19.87	20.30	21.54	N/A
Operating income (EBIT, reported)	8.95	3.85	5.71	5.57	5.12	6.02
EBITDA (EBIT plus total D&A)	11.97	6.60	8.60	8.65	8.35	9.26
Net interest expense	0.42	0.48	0.50	0.41	0.45	0.43
Income tax expense	1.96	0.64	1.16	1.17	1.06	N/A
Net earnings	6.95	2.78	4.14	4.09	3.71	4.39
Diluted EPS (USD)	14.10	5.98	8.94	8.86	8.13	9.64
Dividends paid per share (USD)	3.16	3.96	4.36	4.44	4.52	N/A
Gross margin	29.3%	24.6%	27.5%	28.2%	27.9%	29.3%
Operating margin	8.4%	3.5%	5.3%	5.2%	4.9%	5.6%
Net margin	6.6%	2.5%	3.9%	3.8%	3.5%	4.1%

Source: Target Corporation Form 10-K (fiscal years ended around 31 January) and quarterly reports; Alpha Vantage statement data for cross-check. EBITDA is calculated as reported EBIT plus total depreciation and amortization from the cash flow statement. Fiscal 2023 contained 53 weeks. TTM is the sum of the four quarters ended 1 August 2026 and includes a USD 0.994bn tariff refund credited to cost of sales. Diluted EPS for fiscal 2021 to 2025 as reported; TTM EPS is calculated as TTM net earnings divided by period-end shares.

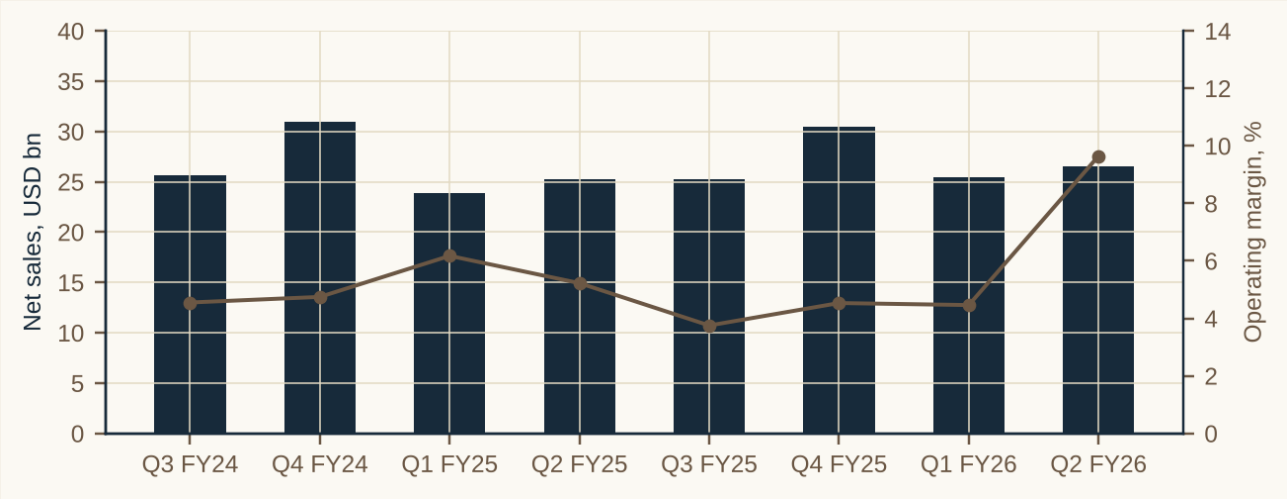
Gross margin. The rate fell from 28.2% to 27.9% in fiscal 2025 on higher markdowns and purchase order cancellation costs, partly offset by advertising growth and lower shrink. In the second quarter of 2026 the rate was 33.7%, 4.7 points higher, of which 3.7 points came from the tariff refund; excluding it, the rate improved by about 1 point.

Operating leverage. Fixed costs (store payroll, depreciation, technology) mean that a fall in sales produces a larger fall in profit: fiscal 2025 sales fell 1.7% and operating income fell 8.1% (a degree of operating leverage of about 4.8x). The same logic works in reverse, which is why a return to 3% to 4% comparable growth could raise margins quickly, and why management guides to an operating margin about 0.5 points above fiscal 2025's 4.6% adjusted level, excluding refunds. Margins are therefore contracting over four years, stabilised over the last three and just beginning to expand: from 5.2% in fiscal 2024 to 4.9%, to 5.9% excluding the refund in the second quarter of 2026 (calculated: USD 1.57bn of operating income without the refund on USD 26.5bn of sales, versus 5.2% a year earlier).

Below the operating line, net interest expense was USD 445m (USD 411m in fiscal 2024), the effective tax rate 22.3% (global minimum taxes and discrete share-based compensation items), and diluted EPS USD 8.13 on 455.6 million diluted shares. Adjusted EPS of USD 7.57 removes the USD 593m interchange fee settlement gain (USD 0.97 a share) and USD 250m of

restructuring charges (USD 0.41 a share). There is no research and development line; the technology spend sits in SG&A. Target's stock-based compensation of USD 281m is 0.3% of sales and is included in the reported figures.

Quarterly net sales and operating margin, eight quarters



Source: Target Corporation quarterly reports via Alpha Vantage, quarters ended 31 October 2024 to 31 July 2026. Units: USD bn and percent. The second quarter of fiscal 2026 includes a USD 0.994bn tariff refund; excluding it the margin is 5.9%.

C2. Balance Sheet

Assets. Total assets were USD 59.5bn at fiscal year end and USD 61.2bn at 1 August 2026, of which property, plant and equipment is USD 37.5bn (63%) and inventory USD 12.3bn to USD 13.2bn. Cash and short-term investments are USD 5.5bn. Goodwill of USD 631m is only 1% of assets and has not changed in five years, so there is no acquisition-related impairment risk. Receivables are small at USD 1.8bn. A pension asset of USD 231m means the plan is overfunded.

BALANCE SHEET SUMMARY, USD BN AT PERIOD END

Metric	FY2021	FY2022	FY2023	FY2024	FY2025	Q2 FY26
Cash and short-term investments	5.91	2.23	3.81	4.76	5.49	5.41
Inventory	13.90	13.50	11.89	12.74	12.30	13.25
Receivables	1.35	1.70	1.40	1.54	1.81	N/A
Total current assets	21.57	17.85	17.50	19.45	20.00	20.93
Property, plant and equipment, net	30.74	34.17	36.46	36.78	37.45	N/A
Goodwill	0.63	0.63	0.63	0.63	0.63	N/A
Total assets	53.81	53.34	55.36	57.77	59.49	61.23
Accounts payable	15.48	13.49	12.10	13.05	12.62	13.31
Total current liabilities	21.75	19.50	19.30	20.80	21.23	21.18
Total debt including leases	16.47	19.07	19.65	19.88	20.29	18.70
Total liabilities	40.98	42.10	41.92	43.10	43.33	43.39
Shareholders' equity	12.83	11.23	13.43	14.67	16.16	17.84
Net debt including leases	10.56	16.84	15.84	15.11	14.80	13.29
Net debt / EBITDA	0.88x	2.55x	1.84x	1.75x	1.77x	1.44x
Current ratio	0.99x	0.92x	0.91x	0.94x	0.94x	0.99x
Quick ratio (excluding inventory)	0.35x	0.22x	0.29x	0.32x	0.36x	0.36x
Equity ratio (equity / assets)	23.8%	21.1%	24.3%	25.4%	27.2%	29.1%
Net working capital	-0.17	-1.65	-1.81	-1.34	-1.23	-0.25

Source: Target Corporation Form 10-K and Form 10-Q (balance sheets at 29 January 2022, 28 January 2023, 3 February 2024, 1 February 2025, 31 January 2026 and 1 August 2026). Total debt includes current portion of long-term debt, long-term debt and lease obligations as normalized by the data provider. N/A means not retrieved for that period. Net debt, ratios and working capital are calculated.

Liabilities. Accounts payable of USD 12.6bn to USD 13.3bn exceed inventory in some quarters of the cycle, so supplier credit funds the stock. Long-term debt including the current portion is carried at USD 14.4bn with a fair value of USD 13.7bn, below carrying value because most bonds carry coupons below current market rates. Total debt including lease obligations is USD 20.3bn at fiscal year end and USD 18.7bn at 1 August 2026. In 2025 Target issued USD 2.0bn of unsecured bonds and repaid USD 1.5bn. A USD 1.0bn 364-day revolver expires in October 2026 and a USD 3.0bn revolver in October 2028; neither was drawn. Credit ratings are A2 (Moody's), A (S&P) and A (Fitch).

Equity. Shareholders' equity rose from USD 11.2bn to USD 16.2bn between fiscal 2022 and 2025 because buybacks were cut and earnings were retained; the equity ratio improved from 21.1% to 27.2%.

Strength and red flags. The balance sheet is solid. Net debt including leases is 1.8x EBITDA at the fiscal year end and 1.4x on the trailing figure; interest coverage is 11.7x. The current ratio of 0.94x and negative working capital of USD 1.2bn are structural for a retailer with a 6-day cash conversion cycle. Potential red flags are the build in inventory in the second quarter (USD 13.2bn, up about 3%, against sales growth of 5.3%, which is acceptable) and the dependency on operating leases, whose obligation was not retrieved. The debt maturity schedule was not retrieved either; with ratings in the A range and USD 4.0bn of undrawn revolvers refinancing risk appears low.

C3. Cash Flow Statement

Operating cash flow was USD 6.6bn in fiscal 2025 (USD 7.4bn in fiscal 2024), 1.8 times net earnings. The gap between earnings and cash is explained mainly by depreciation and amortization of USD 3.1bn (which is not a cash cost) and a USD 0.4bn release of inventory; it is real cash generation, not an accounting flatter. In the opposite direction, the interchange settlement gain of USD 593m raised earnings but its cash timing is not stated. Capital expenditure of USD 3.7bn left free cash flow of USD 2.8bn, 0.77 times net earnings, and covered the dividend (USD 2.1bn) and USD 0.4bn of buybacks with USD 0.4bn to spare, while the company also raised USD 0.5bn of net debt.

CASH FLOW SUMMARY, USD BN

Metric	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Q2 FY26
Operating cash flow	8.62	4.02	8.62	7.37	6.56	8.72
Capital expenditure	3.54	5.53	4.81	2.89	3.73	4.17
Free cash flow (OCF less capex)	5.08	-1.51	3.82	4.48	2.84	4.55
Dividends paid	1.55	1.84	2.01	2.05	2.05	2.07
Share repurchases	7.36	2.83	0.13	1.01	0.41	0.49
FCF margin	4.8%	-1.4%	3.6%	4.2%	2.7%	4.2%
Capex / net sales	3.3%	5.1%	4.5%	2.7%	3.6%	3.9%
Operating cash flow / net earnings	1.24x	1.45x	2.08x	1.80x	1.77x	1.99x
FCF / net earnings	0.73x	-0.54x	0.92x	1.09x	0.77x	1.04x
Dividends plus buybacks / FCF	1.75x	N/M	0.56x	0.68x	0.87x	0.56x

Source: Target Corporation Form 10-K and Form 10-Q cash flow statements. Free cash flow is calculated as operating cash flow less capital expenditure and is not a company-reported measure. N/M means not meaningful because free cash flow was negative in fiscal 2022. TTM is the sum of the four quarters ended 1 August 2026.

Net income is not cash generation in several years. Fiscal 2022 shows net earnings of USD 2.8bn but negative free cash flow of USD 1.5bn after capex of USD 5.5bn; fiscal 2023 shows operating cash flow of USD 8.6bn, 2.1 times earnings, because inventory was liquidated (USD 1.6bn release). Over the five fiscal years Target generated USD 14.7bn of free cash flow and paid out USD 9.5bn of dividends and USD 11.7bn of buybacks, so shareholder distributions of USD 21.2bn exceeded free cash flow by USD 6.5bn and were partly debt financed. The trailing twelve months show operating cash flow of USD 8.7bn and free cash flow of USD 4.6bn including the refund cash received, with capex rising (USD 2.4bn in the first half of 2026, up nearly 30%). Working capital took USD 0.9bn of cash in the second quarter as inventory rose ahead of the holiday season, which reverses in the fourth quarter.

C4. Forecasting and Projections

Revenue modelling. Net sales are driven by comparable sales (traffic times ticket) plus new store contribution plus other revenue. Management guides to net sales growth around 5% for fiscal 2026, which implies about USD 110bn. That figure is plausible: the first half grew 6.0% (calculated: USD 52.0bn against USD 49.1bn), and about 30 new stores add roughly 1.5% in space. Segment-level drivers: food and beverage and beauty are growing at high single digits in the second quarter, Fun101 at double digits, while home and apparel are improving only into 2027. The base case therefore fades growth from 5.0% to 3.2% by fiscal 2030, in line with the NRF industry growth estimate of 4.4% for 2026 and slightly lower than nominal GDP.

Margin projections. The base case raises the operating margin from 5.1% (fiscal 2026E excluding refunds) to 5.7% (fiscal 2030E) on three drivers: gross margin recovery as markdowns normalise and advertising grows; SG&A leverage on 3% to 4% sales growth; and lower business transformation costs. It remains well below the 8.4% of fiscal 2021. The bull case reaches 6.6% on faster advertising and membership growth; the bear case falls to 4.3% on price investments and a weaker consumer.

Working capital and capex. Working capital is negative, so growth releases cash: the model assumes a 5% investment of each incremental dollar of sales. Capex steps up to 4.5% of sales in fiscal 2026 (USD 5bn) on new stores, remodels and supply chain and falls to 3.5% by fiscal 2030; depreciation and amortization of 3.0% of sales implies growth capex of about 1.5% of sales in fiscal 2026 and maintenance capex roughly equal to depreciation.

FORECAST AND DCF INPUTS BY SCENARIO

Metric	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Base: net sales growth	5.0%	4.0%	3.8%	3.5%	3.2%
Base: net sales, USD bn	110.0	114.4	118.8	122.9	126.9
Base: operating margin	5.1%	5.3%	5.5%	5.6%	5.7%
Base: capex / sales	4.5%	4.2%	3.9%	3.7%	3.5%
Base: free cash flow to firm, USD bn	2.44	3.11	3.78	4.27	4.77
Bull: net sales growth	5.2%	5.5%	5.0%	4.5%	4.0%
Bull: net sales, USD bn	110.2	116.3	122.1	127.6	132.7
Bull: operating margin	5.2%	5.7%	6.1%	6.4%	6.6%
Bull: capex / sales	4.5%	4.2%	3.8%	3.6%	3.4%
Bull: free cash flow to firm, USD bn	2.52	3.44	4.50	5.29	6.00
Bear: net sales growth	4.5%	1.5%	1.5%	2.0%	2.0%
Bear: net sales, USD bn	109.5	111.1	112.8	115.1	117.4
Bear: operating margin	4.9%	4.4%	4.3%	4.3%	4.4%
Bear: capex / sales	4.5%	4.2%	4.0%	3.8%	3.6%
Bear: free cash flow to firm, USD bn	2.28	2.37	2.55	2.80	3.18

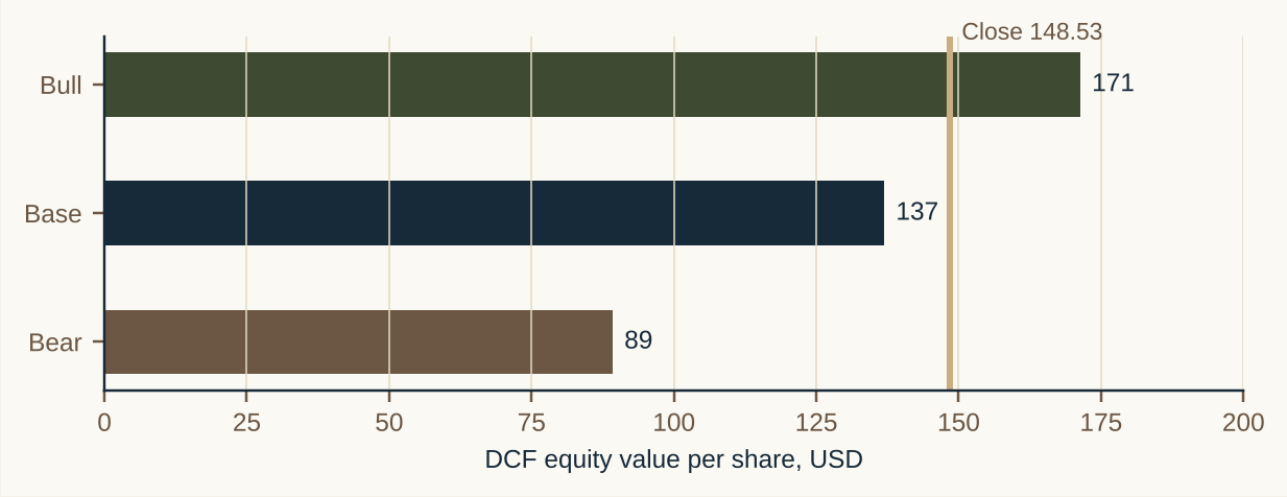
Source: analyst projections. Fiscal 2026E net sales growth of about 5% and an operating margin excluding tariff refunds near 5.1% follow management guidance (4.6% adjusted fiscal 2025 margin plus about 0.5 points). Tax rate 22.5%, depreciation and amortization 3.0% of sales and change in working capital equal to 5% of the change in sales in all scenarios. Free cash flow to firm is EBIT after tax plus depreciation and amortization less capex less working capital investment.

SCENARIO EARNINGS PROJECTIONS

Metric	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Bear: EBIT, USD bn	5.37	4.89	4.85	4.95	5.16
Bear: EPS excluding refunds, USD	8.47	7.70	7.67	7.88	8.29
Base: EBIT, USD bn	5.61	6.06	6.53	6.88	7.23
Base: EPS excluding refunds, USD	8.89	9.71	10.57	11.23	11.89
Bull: EBIT, USD bn	5.73	6.63	7.45	8.17	8.76
Bull: EPS excluding refunds, USD	9.10	10.68	12.15	13.45	14.55

Source: analyst projections. EPS equals (EBIT less USD 0.40bn net interest) after 22.5% tax, divided by a share count falling 0.5% a year from 454.3 million. Excludes tariff refunds and any one-time items; fiscal 2026E base EPS of USD 8.9 compares with management guidance of USD 8.25 to USD 9.25 excluding the refund.

DCF equity value per share by scenario against the share price



Source: analyst calculation (section C5). Units: USD per share. WACC 8.3%, terminal growth 2.5%. The vertical line marks the 26 October 2026 close.

Sensitivity. The valuation is most sensitive to the discount rate and to the terminal operating margin. A one-point change in WACC changes the base value by about USD 24 to USD 34 a share; a half-point change in operating margin in every year changes it by about USD 15; one point of extra annual growth changes it by about USD 7. Full grids are shown in section C5.

C5. Discounted Cash Flow (DCF) Model

Assumptions. Revenue grows 5.0%, 4.0%, 3.8%, 3.5% and 3.2% over fiscal 2026E to 2030E from USD 104.8bn to USD 126.9bn. The operating margin excluding refunds rises from 5.1% to 5.7%; the tax rate is 22.5%; depreciation and amortization is 3.0% of sales; capex falls from 4.5% to 3.5% of sales; working capital investment is 5% of the change in sales. The WACC of 8.3% combines a cost of equity of 9.4% (risk-free rate 5.0% from the ten-year Treasury yield on 23 October 2026, beta 0.98 and an assumed equity risk premium of 4.5%) with a pre-tax cost of debt of 5.5% (4.3% after tax) at 78% equity and 22% debt by market weights. Terminal growth is 2.5%, and the terminal value assumes new investment earns 15%, the level of recent reported ROIC. Net debt of USD 13.29bn includes leases at 1 August 2026 and the share count is 454.3 million. Half of fiscal 2026E cash flow is counted as the remaining stub, consistent with a valuation date of 26 October 2026; the refund cash received in the first half is already in net debt.

DCF OUTPUT BY SCENARIO, USD BN UNLESS STATED

Scenario	PV of FCFF	PV of terminal value	Enterprise value	Net debt	Equity value	Per share, USD	Terminal share of EV
Bear	10.2	43.7	53.9	13.3	40.6	89	81%
Base	14.4	61.2	75.5	13.3	62.2	137	81%
Bull	17.1	74.1	91.2	13.3	77.9	171	81%

Source: analyst calculation. WACC 8.3%, terminal growth 2.5%, valuation date 26 October 2026, 454.3 million shares, net debt including leases of USD 13.29bn at 1 August 2026. Half of fiscal 2026E free cash flow is counted as the remaining stub. Terminal value assumes reinvestment equal to growth divided by a 15% return on new capital.

The terminal value represents about 81% of enterprise value, a high share typical for a business with front-loaded capex. The base-case terminal value equals 7.5 times terminal year EBITDA, a conservative multiple against today’s 8.7x.

SENSITIVITY, BASE CASE: WACC (ROWS) AGAINST TERMINAL GROWTH (COLUMNS), DCF VALUE PER SHARE IN USD

WACC	1.5%	2.0%	2.5%	3.0%	3.5%
7.3%	152	161	171	184	201
7.8%	138	144	153	162	174
8.3%	125	131	137	144	153
8.8%	114	119	124	130	137
9.3%	105	109	113	117	123

Source: analyst calculation using the base case in this report.

SENSITIVITY, BASE CASE: OPERATING MARGIN SHIFT (ROWS) AGAINST ANNUAL GROWTH SHIFT (COLUMNS), VALUE PER SHARE IN USD

Operating margin	-2 pts	-1 pts	+0 pts	+1 pts	+2 pts
Margin -1.0 pts	95	100	106	111	117
Margin -0.5 pts	109	115	121	128	134
Margin 0.0 pts	123	130	137	144	152
Margin +0.5 pts	138	145	153	161	169
Margin +1.0 pts	152	160	168	177	186

Source: analyst calculation. Each shift is applied to every forecast year of the base case at 8.3% WACC and 2.5% terminal growth.

Conclusion. The base case gives about USD 137 per share and a reasonable range of USD 124 to USD 153 (WACC from 7.8% to 8.8% at 2.5% terminal growth); the bear and bull cases span USD 89 to USD 171. This is a valuation range, not a precise intrinsic value, and the assumed risk-free rate of 5.0% is high by recent standards; at a 4.0% rate the base value would rise by roughly 20%. At USD 148.53 the shares trade within the upper half of the base range and about 8% above the base point estimate, which means the market already prices in most of the recovery in the base case.

C6. Leveraged Buyout (LBO) Model

Not applicable. An enterprise value of about USD 81bn before any takeover premium would require at least USD 35bn of equity even with debt at 5.5 times EBITDA (about USD 46bn on fiscal 2025 EBITDA of USD 8.3bn), an unusually large financing for a retailer, and the exit multiple would have to exceed today's 8.7x for a sponsor to earn a 20% internal rate of return. Target's single-A credit ratings and retail margin volatility also make a leveraged structure unattractive.

D. Investment Thesis

Bull Case

Value of about USD 171 per share in the DCF. Net sales grow 5.2% in fiscal 2026 and 4% to 5.5% in the following years, reaching USD 132.7bn in fiscal 2030, as traffic recovery persists, owned brands and the Beauty Studio programme win share, and the Target Circle 360 membership and Target Plus marketplace scale. Operating margin expands from 5.2% to 6.6% on higher advertising income (Roundel billings are growing nearly 20%), gross margin recovery and SG&A leverage, with EPS excluding refunds reaching USD 14.55 in fiscal 2030. Capital allocation is optimised as buybacks resume in the second half of 2026 and capex returns exceed 15%. A multiple of 15.6x, the fiscal year-end level seen in three of the last five years, applied to that higher EPS would lift the shares well above today's price, although the market already prices part of this outcome.

Bear Case

Value of about USD 89 per share. Growth slows to 1.5% in fiscal 2027 and 2% thereafter as the consumer weakens and Walmart, Amazon and Costco keep taking share. Gross margin compresses on price investment and tariffs without refunds, and SG&A deleverages on wage inflation; the operating margin falls to 4.3%, below the fiscal 2024 and 2025 levels. Capex stays near USD 5bn, so free cash flow stays near USD 2.5bn to USD 3bn and the dividend consumes most of it. EPS stagnates near USD 7.7 to USD 8.3 and the multiple compresses towards 11x to 12x, below the 13.0x of the fiscal 2025 year end. The key difference from the base case is not leverage, which stays manageable at about 2x EBITDA, but permanently lower earnings.

Base Case

Value of about USD 137 per share, with a range of USD 124 to USD 153. Net sales grow 5.0% in fiscal 2026 to roughly USD 110bn (management guidance), then fade from 4.0% to 3.2%; the operating margin excluding refunds rises from 5.1% to 5.7% by fiscal 2030; capex falls from 4.5% to 3.5% of sales; EPS excluding refunds rises from USD 8.9 in fiscal 2026 to USD 11.9 in fiscal 2030, a 7.5% annual rate. Free cash flow to the firm rises from USD 2.4bn (half-year stub) to USD 4.8bn. A multiple of 15x to 17x refund-adjusted earnings is consistent with this path. At the current price of USD 148.53 the shares trade about 8% above this value.

Catalysts

POTENTIAL CATALYSTS

Event	Timing	Why it matters
Ex-dividend date and third-quarter fiscal 2026 results	10 and 18 November 2026	First read on holiday positioning and on whether the traffic recovery (plus 3.6% in the second quarter) continues without refunds.
Holiday season (fourth quarter)	November 2026 to January 2027	The fourth quarter produces a larger share of annual sales and profit; inventory of USD 13.2bn must clear without heavy markdowns.
Share repurchase resumption	Second half of 2026	Management expects capacity to resume; fiscal 2025 buybacks were only USD 0.4bn against USD 7.4bn in fiscal 2021.
Further tariff refunds	During fiscal 2026	Management says more refunds are expected beyond the USD 994m recognised; guidance excludes them.
Beauty Studio and store reinventions	September 2026 onward	Replaces the Ulta Beauty shop-in-shop agreement that expires in August 2026; beauty is 13% of merchandise sales.
Annual results and fiscal 2027 guidance	March 2027	First full-year outlook under the new chief executive; margin target and capex plan.
Dividend increase	June 2027 (usual timing)	Continuity of the multi-decade dividend growth record; payout targeted towards 40% over time.

Source: Target Corporation second-quarter 2026 earnings release and call; stockanalysis.com for the 18 November 2026 earnings and 10 November 2026 ex-dividend dates. The timing of the dividend increase is the usual pattern, not a company statement.

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive	Negative
Comparable sales and traffic	Shows whether share loss has stopped	Comparable sales above 3% with traffic above 2%	Comparable sales below 1% or traffic negative
Gross margin excluding refunds	Measures pricing power and tariff absorption	Above 28.5% (second quarter of 2026 was about 1 point higher than a year earlier)	Below 27.5% (fiscal 2025 was 27.9%)
SG&A rate	Main source of margin loss since fiscal 2021	Flat or below 20.6% on sales growth	Above 21.5% of sales
Inventory against sales	Markdown risk ahead of holiday	Inventory growth below sales growth (3% against 5.3% now)	Inventory growth above sales growth by 3 points
Capex and returns	Programme of about USD 5bn needs adequate returns	ROIC above 14% while capex rises	ROIC falling below 12%
Free cash flow after dividends	Funds buybacks and debt reduction	Free cash flow above USD 4bn on a trailing basis	Free cash flow below dividends of USD 2.1bn
Tariffs and refunds	Direct driver of cost of sales	Further refunds and stable rates	New tariffs without offset
Net debt / EBITDA	Credit rating protection	At or below 1.8x	Above 2.5x

Source: analyst thresholds based on fiscal 2025 reported figures and second-quarter 2026 results.

E. Final Investment Framework

BUSINESS QUALITY	Moderate. Owned brands, 1,546 owned stores and a growing retail media business support a 5% operating margin and 13% to 16% ROIC, but top-line growth has been negative for three years.
FINANCIAL QUALITY	Moderate to good. Operating cash flow is 1.8x earnings and the balance sheet carries A ratings; reported earnings in the last twelve months are inflated by a USD 994m tariff refund and fiscal 2025 by a USD 593m settlement.
COMPETITIVE POSITION	Moderate and stabilising. Target is gaining traffic again but competes with Walmart and Costco, which are growing faster with lower margins.
MANAGEMENT	Adequate with improving evidence. A new internal CEO and a refreshed merchandising and operations team have raised guidance; the history through the 2022 reset and the low level of buybacks in recent years give limited basis for trust in forecasting accuracy.
INDUSTRY	Mature and transforming; growth of about 4% a year, share consolidating towards scale, with retail media and membership as the profit growth areas.
VALUATION	Fair to full. A trailing P/E of 15.4x (18.6x refund-adjusted) and a DCF base value near USD 137 against a USD 148.53 price; the price is consistent with the upper half of the base range and requires a 6.2% operating margin by fiscal 2030.
TECHNICAL AND MARKET STRUCTURE	Constructive long term (above the 200-day average, up 52% in 2026) but a weak short term (below the 50-day average, RSI 40, MACD negative); volatility of 31% is double the market's.
PRINCIPAL RISK	Structural share loss in discretionary categories combined with tariff and price pressure on gross margin.
PRINCIPAL CATALYST	Third-quarter results on 18 November 2026 and the holiday quarter, which will show whether traffic growth continues without refunds.
KEY VARIABLE	The operating margin excluding one-time items: each 0.5 point is worth about USD 15 a share in the DCF.
THESIS INVALIDATION	The investment thesis would become materially weaker if comparable sales turn negative again for two consecutive quarters, if the operating margin excluding refunds falls below 4.5% on a trailing basis, if net debt exceeds 2.5x EBITDA, or if capex above USD 5bn fails to lift ROIC above 14%.

Category	Metric	Current	Prior year	3Y / 5Y trend

F. Data Table

Category	Metric	Current	Prior year	3Y / 5Y trend
Market	Market capitalization	USD 67.5bn	USD 48.1bn	USD 108.6bn (Jan 2022)
Market	Enterprise value	USD 80.8bn	USD 62.9bn	USD 119.2bn (Jan 2022)
Market	Share price	USD 148.53	USD 105.47	USD 259.62 high (Oct 2021)
Growth	Revenue growth	2.0% TTM (5.3% Q2)	minus 1.7%	CAGR minus 0.3% (FY21 to FY25)
Profitability	Gross margin	29.3% TTM (28.4% excl. refund)	27.9%	29.3% (FY21) to 27.9%
Profitability	Operating margin	5.6% TTM (4.7% excl.)	4.9%	8.4% (FY21) to 4.9%
Profitability	Net margin	4.1% TTM	3.5%	6.5% (FY21) to 3.5%
Profitability	ROE	25.8%	24.0%	23.1% to 33.6% (FY22 to FY25)
Profitability	ROIC	15.4% (company)	13.8% (company)	13.3% to 15.8% calculated (FY22 to FY25)
Cash flow	Operating cash flow	USD 8.72bn TTM	USD 6.56bn	USD 8.63bn (FY21)
Cash flow	Free cash flow	USD 4.55bn TTM	USD 2.84bn	USD 5.08bn (FY21); CAGR minus 13.6%
Leverage	Net debt / EBITDA	1.4x	1.8x	0.9x (FY21) to 1.8x
Valuation	P/E	15.4x (18.6x excl.)	13.0x	13.0x to 28.8x at year ends
Valuation	EV/EBITDA	8.7x (9.8x excl.)	7.5x	10.0x (Jan 2022)
Valuation	P/FCF	14.8x	16.9x	21.4x (Jan 2022)
Market	Beta	0.95 (60 months)	N/A	0.98 data provider, 5 years
Market	Volatility	31.3% annualised	N/A	S&P 500 ETF 15.4%
Market	Maximum drawdown	minus 61.2%	N/A	Oct 2021 to Sep 2025

Source: Target Corporation filings; Alpha Vantage price data; stockanalysis.com; analyst calculations. Current means the latest trailing twelve months to 1 August 2026 or the 26 October 2026 close; prior year means fiscal 2025 (31 January 2026) for operating metrics and the 30 January 2026 close and share count for market values and multiples. Enterprise value includes net debt and leases. TTM includes the USD 994m tariff refund unless marked excl.

G. Sources and Methodology

Data cross-check

Financial statement data from the structured data provider was reconciled against the Target Corporation Form 10-K: net sales (USD 104,780m), operating income (USD 5,117m), EBIT (USD 5,212m) and the dividend per share all match. Items that differ were resolved as follows. EBITDA is USD 8.35bn in this report (reported EBIT plus total depreciation and amortization from the cash flow statement) against USD 8.07bn at one data provider, which deducts depreciation differently; the company does not report EBITDA, so the calculation is shown. Beta is 0.95 on 60 monthly returns against 0.98 for five years at the data provider; the difference is within the estimation error of the method. Market capitalization of USD 67.5bn is calculated at the 26 October 2026 close of USD 148.53, whereas the data provider page was priced at the 23 October close of USD 152.76 (USD 69.4bn). Net debt of USD 13.3bn uses the 1 August 2026 balance sheet including leases; the provider shows USD 13.8bn. Where sources conflicted, primary filings were preferred, followed by calculations from filings, followed by data providers. Peer metrics are data-provider figures priced at the 26 October 2026 close and are comparable between the peers but not identical in construction to the Target figures calculated in this report.

Accounting framework: US GAAP. Adjusted figures (adjusted EPS of USD 7.57 and adjusted operating income of USD 4,775m in fiscal 2025) exclude the interchange fee settlement gain and restructuring charges and are reconciled by the company in its Form 10-K; they are not treated as superior to the GAAP figures.

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Calculations

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